

Progress with Purpose

Financial Statements

For the Six Months Ended 30th September 2025



Alliance Finance Co. PLC
Make the world a better place through sustainable finance



The first financial institution in South Asia to receive the SSCI Certification, the world's first measurable and certifiable standard for value driven financial institutions with holistic sustainability integration to the business.

Alliance Finance Company PLC

Statement of Profit or Loss - Company

For the period ended 30th September

	For the Quarter ended			For the Six months ended		
	2025 (Unaudited) Rs.	2024 (Unaudited) Rs.	Variance %	2025 (Unaudited) Rs.	2024 (Unaudited) Rs.	Variance %
Gross Income	4,576,258,242	3,836,986,343	19	8,953,942,790	7,494,686,154	19
Interest income	4,243,576,719	3,604,124,087	18	8,346,161,618	7,044,031,770	18
Interest expenses	(1,922,448,202)	(1,589,983,581)	(21)	(3,627,107,615)	(3,186,782,470)	(14)
Net Interest Income	2,321,128,517	2,014,140,506	15	4,719,054,003	3,857,249,300	22
Fee and Commission Income	53,164,431	106,329,371	(50)	175,107,502	196,928,092	(11)
Net gain/(loss) from trading	9,633,938	13,545,708	(29)	42,337,961	44,530,160	(5)
Other operating income (net)	269,883,154	112,987,177	139	390,335,709	209,196,132	87
Total Operating Income	2,653,810,040	2,247,002,762	18	5,326,835,175	4,307,903,684	24
Impairment (charges) / reversal for loans and other losses	(6,776,879)	(174,282,710)	96	(230,166,546)	(386,029,606)	40
Net Operating Income	2,647,033,161	2,072,720,052	28	5,096,668,629	3,921,874,078	30
Operating Expenses						
Personnel expenses	(738,006,856)	(498,110,041)	(48)	(1,383,108,378)	(1,001,003,804)	(38)
Other operating expenses	(795,379,263)	(702,966,826)	(13)	(1,550,811,640)	(1,339,037,192)	(16)
Depreciation and amortization	(60,232,289)	(52,721,082)	(14)	(118,032,866)	(102,800,346)	(15)
Total operating expenses	(1,593,618,408)	(1,253,797,949)	(27)	(3,051,952,884)	(2,442,841,342)	(25)
Operating Profit before Taxes on Financial Services	1,053,414,753	818,922,103	29	2,044,715,745	1,479,032,736	38
Taxes on financial services	(260,285,786)	(208,323,293)	(25)	(538,867,452)	(411,821,718)	(31)
Operating Profit after Taxes on Financial Services	793,128,967	610,598,810	30	1,505,848,293	1,067,211,018	41
Share of profit/(loss) from associates	8,639,720	6,189,129	40	15,528,322	15,722,674	(1)
Profit before Taxation from Operations	801,768,687	616,787,939	30	1,521,376,615	1,082,933,692	40
Provision for income taxation	(306,454,827)	(294,182,725)	(4)	(618,932,272)	(513,271,099)	(21)
Profit for the Period	495,313,860	322,605,214	54	902,444,343	569,662,594	58
Basic/ Diluted earnings per share (Annualised)	58.80	38.30		53.56	33.81	
Dividend Per Share paid	9.20	8.40		9.20	8.40	

Alliance Finance Company PLC

Statement of Profit or Loss - Group

For the period ended 30th September

	For the Quarter ended			For the Six months ended		
	2025 (Unaudited) Rs.	2024 (Unaudited) Rs.	Variance %	2025 (Unaudited) Rs.	2024 (Unaudited) Rs.	Variance %
Gross Income	4,648,302,713	3,890,200,105	19	9,073,449,847	7,588,869,860	20
Interest income	4,261,223,656	3,612,004,434	18	8,364,290,867	7,059,281,076	18
Interest expenses	(1,922,442,964)	(1,590,023,603)	(21)	(3,627,118,192)	(3,186,825,604)	(14)
Net Interest Income	2,338,780,692	2,021,980,831	16	4,737,172,675	3,872,455,472	22
Fee and commission income	111,553,200	146,570,947	(24)	269,562,347	267,817,248	1
Net gain/(loss) from trading	10,271,477	16,484,562	38	43,429,544	48,134,542	10
Other operating income (net)	265,254,380	115,140,162	130	396,167,089	213,636,994	85
Total Operating Income	2,725,859,749	2,300,176,502	19	5,446,331,655	4,402,044,256	24
Impairment (charges) / reversal for loans and other losses	(6,776,879)	(174,282,710)	(96)	(230,166,546)	(386,029,604)	40
Net Operating Income	2,719,082,870	2,125,893,792	28	5,216,165,109	4,016,014,652	30
Operating Expenses						
Personnel expenses	(742,847,405)	(502,529,786)	(48)	(1,393,049,315)	(1,010,541,087)	(38)
Other operating expenses	(824,161,021)	(716,857,462)	(15)	(1,584,437,793)	(1,361,185,705)	(16)
Depreciation and amortization	(60,317,062)	(52,798,157)	(14)	(118,201,490)	(103,034,133)	(15)
Total operating expenses	(1,627,325,488)	(1,272,185,405)	(28)	(3,095,688,598)	(2,474,760,925)	(25)
Operating Profit before Taxes on Financial Services	1,091,757,382	853,708,387	28	2,120,476,511	1,541,253,727	38
Taxes on financial services	(260,285,786)	(208,323,293)	(25)	(538,867,452)	(411,821,718)	(31)
Operating Profit after Taxes on Financial Services	831,471,596	645,385,094	29	1,581,609,059	1,129,432,009	40
Share of profit/(loss) from associates	8,639,720	6,189,129	(40)	15,528,322	15,722,674	(1)
Profit before Taxation from Operations	840,111,316	651,574,223	29	1,597,137,381	1,145,154,683	39
Provision for income taxation	(317,006,081)	(303,575,384)	(4)	(639,798,018)	(532,403,550)	(20)
Profit for the Period	523,105,235	347,998,839	50	957,339,363	612,751,133	56
Profit attributable to :						
Equity holders of the Company	513,083,707	338,841,898	51	937,544,274	597,213,406	57
Non controlling interest	10,021,528	9,156,941	9	19,795,089	15,537,727	27
Profit for the Period	523,105,235	347,998,839	50	957,339,363	612,751,133	56
Basic/ Diluted earnings per share (Annualised)	60.91	40.22		55.65	35.45	
Dividend Per Share paid	9.20	8.40		9.20	8.40	

Alliance Finance Company PLC

Statement of Comprehensive Income-Company

For the period ended 30th September

	For the Quarter ended			For the Six months ended		
	2025 (Unaudited)	2024 (Unaudited)	Variance	2025 (Unaudited)	2024 (Unaudited)	Variance
	Rs.	Rs.	%	Rs.	Rs.	%
Profit for the period	495,313,860	322,605,214	54	902,444,343	569,662,594	58
Other Comprehensive Income						
Other Comprehensive Income not to be Reclassified to Profit or Loss						
Equity investments at FVOCI -net change in fair value & realized profit/ (loss) to retained earnings	52,869,785	(5,076,434)	(1,141)	68,289,619	4,354,912	1,468
Net Other Comprehensive Income not be Reclassified to Profit or Loss	52,869,785	(5,076,434)	(1,141)	68,289,619	4,354,912	1,468
Total Comprehensive Income for the period	548,183,644	317,528,780	73	970,733,962	574,017,506	69

Statement of Comprehensive Income - Group

For the period ended 30th September

	For the Quarter ended			For the Six months ended		
	2025 (Unaudited) Rs.	2024 (Unaudited) Rs.	Variance %	2025 (Unaudited) Rs.	2024 (Unaudited) Rs.	Variance %
Profit for the period	523,105,235	347,998,839	50	957,339,363	612,751,133	56
Other Comprehensive Income						
Other Comprehensive Income not to be Reclassified to Profit or Loss						
Equity investments at FVOCI -net change in fair value & realized profit/ (loss) to retained earnings	52,869,785	(5,076,434)	(1,141)	68,289,619	4,354,912	1,468
Net Other Comprehensive Income not be Classified to Profit or Loss	52,869,785	(5,076,434)	(1,141)	68,289,619	4,354,912	1,468
Total Comprehensive Income for the period	575,975,020	342,922,405	68	1,025,628,983	617,106,045	66
Attributable to:						
Equity holders of the company	565,953,493	333,765,465	70	1,005,833,894	601,568,318	67
Non controlling interest	10,021,527	9,156,940	9	19,795,089	15,537,727	27
Total Comprehensive Income for the period	575,975,020	342,922,405	68	1,025,628,983	617,106,045	66

Alliance Finance Company PLC

Statement of Financial Position

As at	Company			Group		
	30.09.2025 (Unaudited) Rs.	31.03.2025 (Audited) Rs.	Variance %	30.09.2025 (Unaudited) Rs.	31.03.2025 (Audited) Rs.	Variance %
Assets						
Cash and cash equivalents	1,467,632,644	1,475,822,024	(1)	1,747,736,959	1,741,401,080	0
Repurchase agreements	3,581,173,918	1,834,618,154	95	3,581,173,918	1,834,617,974	95
Placements with banks & financial institutions	5,568,816,038	4,905,397,835	14	5,743,223,384	4,941,814,722	16
Financial assets recognised through profit or loss	2,924,470,371	5,271,089,167	(45)	2,924,470,371	5,400,608,853	(46)
Loans and advances - at amortised cost	48,636,272,835	38,342,731,995	27	48,636,272,835	38,342,731,995	27
Lease rentals receivable & stock out on hire - at amortised cost	23,205,790,674	24,173,323,963	(4)	23,205,790,675	24,173,323,963	(4)
Financial assets- fair value through other comprehensive income	449,619,574	175,800,654	156	449,619,574	175,800,654	156
Other trading stocks	133,424,297	67,495,284	98	133,424,297	67,495,284	98
Other financial assets	1,289,507,816	566,898,746	127	1,269,030,471	545,171,168	133
Other non financial assets	228,498,684	244,625,077	(7)	251,350,654	252,983,150	(1)
Investments in associates	142,030,936	126,502,614	12	153,845,180	138,316,858	11
Investments in subsidiaries	18,522,288	18,522,288	-	-	-	-
Investment property	187,680,000	187,680,000	-	303,959,714	302,680,000	0
Property, plant & equipment	3,389,020,562	3,390,971,504	(0.1)	3,389,755,667	3,391,875,272	(0.06)
Intangible assets	273,030,324	184,674,891	48	273,030,322	184,674,890	48
Right of use asset	466,305,465	463,824,482	1	466,305,465	463,824,482	1
Deferred tax assets	179,842,264	135,483,254	33	180,053,633	137,401,676	31
Total Assets	92,141,638,690	81,565,461,932	13	92,709,043,120	82,094,722,021	13
Liabilities						
Due to banks	36,063,163,938	30,341,711,845	19	36,157,171,773	30,397,669,512	19
Debt Securities Measured at amortised cost	3,037,596,304	1,012,406,801	200	3,037,596,304	1,012,406,801	200
Due to depositors - at amortised cost	38,746,608,165	36,524,836,317	6	38,745,743,799	36,523,989,296	6
Other financial liabilities	2,081,631,184	1,537,657,682	35	2,107,237,009	1,609,980,121	31
Other non financial liabilities	129,294,722	191,818,324	(33)	129,294,796	191,818,324	(33)
Derivative financial liabilities	6,126,409	-	100	6,126,409	-	100
Income tax liabilities	838,675,524	1,370,124,514	(39)	850,162,676	1,388,527,363	(39)
Retirement benefit liabilities	29,853,650	87,094,962	(66)	36,099,744	92,785,154	(61)
Deferred tax liabilities	737,201,626	704,224,787	5	742,894,178	711,624,397	4
Lease Liability	461,224,433	446,054,835	3	461,224,433	446,054,835	3
Total Liabilities	82,131,375,955	72,215,930,068	14	82,273,551,121	72,374,855,804	14
Shareholders' Funds						
Stated capital	613,980,000	613,980,000	-	613,980,000	613,980,000	-
Retained earnings	6,161,784,552	5,656,084,950	9	6,397,607,946	5,856,808,525	9
Reserves	3,234,498,185	3,079,466,914	5	3,234,498,186	3,079,466,914	5
Total Equity Attributable to Equity Holders of the Company	10,010,262,737	9,349,531,864	7	10,246,086,132	9,550,255,439	7
Non controlling interest	-	-		189,405,867	169,610,778	12
Total Equity	10,010,262,737	9,349,531,864	7	10,435,491,999	9,719,866,217	7
Total Liabilities and Shareholders' Funds	92,141,638,690	81,565,461,932	13	92,709,043,120	82,094,722,021	13
Contingent Liabilities and Commitments	1,572,572,833	1,507,878,412		1,572,572,833	1,507,878,412	
Net assets value per share (Rs.)	297	277		304	283	

Accounting policies & notes to the accounts form an integral part of these Financial Statements.

Certification

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.



Dinuk Baig
Assistant General Manager -Finance

14-11-2025
Colombo



W. P. K. Jayawardana
Deputy Managing Director



R.K.E.P. De Silva
Deputy Chairman & Managing Director

Alliance Finance Company PLC
Statement of Changes in Equity

Company	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2024 (Audited)	613,980,000	1,048,326,205	1,593,798,551	388,258,055	(25,273,504)	-	4,509,940,679	8,129,029,986
Profit for the period	-	-	-	-	-	-	569,662,593	569,662,593
Other comprehensive income, net of tax								
Equity investments at FVOCI - net change in fair value &								
Disposal profit	-	-	-	-	4,354,912	-	-	4,354,912
Changes in revaluation reserve			(25,873,374)					(25,873,374)
Dividend Paid	-	-	-	-	-	-	(283,046,472)	(283,046,472)
Balances as at 30th September 2024 (Unaudited)	613,980,000	1,048,326,205	1,567,925,177	388,258,055	(20,918,592)	-	4,796,556,800	8,394,127,645
Balance as at 1st April 2025 (Audited)	613,980,000	1,135,067,857	1,568,458,553	388,258,055	(12,317,552)	-	5,656,084,948	9,349,531,975
Profit for the period	-	-	-	-	-	-	902,444,343	902,444,343
Other comprehensive income, net of tax								
Equity investments at FVOCI - net change in fair value &								
Disposal profit	-	-	-	-	68,289,619	-	-	68,289,619
Dividend Paid	-	-	-	-	-	-	(310,003,200)	(310,003,200)
Balances as at 30th September 2025 (Unaudited)	613,980,000	1,135,067,857	1,568,458,553	388,258,055	55,972,067	-	6,248,526,091	10,010,262,737

Group	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2024 (Audited)	613,980,000	1,048,326,205	1,593,798,551	388,258,055	(25,273,504)	132,528,954	4,675,362,989	8,426,981,250
Profit for the period	-	-	-	-	-	15,537,727	597,213,406	612,751,133
Other comprehensive income, net of tax -								
Equity investments at FVOCI - net change in fair value &								
Disposal profit	-	-	-	-	4,354,912	-	-	4,354,912
Changes in revaluation reserve			(25,873,374)					(25,873,374)
Dividend Paid	-	-	-	-	-	-	(283,046,472)	(283,046,472)
Balances as at 30th September 2024 (Unaudited)	613,980,000	1,048,326,205	1,567,925,177	388,258,055	(20,918,592)	148,066,681	4,989,529,923	8,735,167,449
Balance as at 1st April 2025 (Audited)	613,980,000	1,135,067,858	1,568,458,553	388,258,055	(12,317,552)	169,610,778	5,856,808,525	9,719,866,217
Profit for the period	-	-	-	-	-	19,795,089	937,544,274	957,339,363
Other comprehensive income, net of tax -								
Equity investments at FVOCI - net change in fair value &								
Disposal profit	-	-	-	-	68,289,619	-	-	68,289,619
Dividend Paid	-	-	-	-	-	-	(310,003,200)	(310,003,200)
Balances as at 30th September 2025 (Unaudited)	613,980,000	1,135,067,858	1,568,458,553	388,258,055	55,972,067	189,405,867	6,484,349,599	10,435,491,999

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC

Statement of Cash Flows

For the period ended 30th September

	Company		Group	
	2025	2024	2025	2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
	Rs.	Rs.	Rs.	Rs.
Cash Flows From / (Used in) Operating Activities				
Profit before Income Tax Expense	1,521,376,615	1,082,933,693	1,597,137,266	1,145,154,683
Adjustments for;				
Depreciation of property, plant & equipment	111,694,835	96,983,616	111,863,459	97,136,190
Amortization of intangible assets	6,338,031	5,816,730	6,338,031	5,897,943
Interest Expenses of Bank Borrowings	1,498,116,579	1,237,284,304	1,498,116,579	1,237,284,304
Interest on debentures	53,860,322	-	53,860,322	-
Amortization of Right of use asset	82,809,933	72,520,153	82,809,933	72,520,153
Interest expense on lease liability	30,581,737	27,608,403	30,581,737	27,608,403
Impairment (reversal)/provision	218,496,499	277,204,775	218,496,499	277,204,775
Interest on fixed deposits, commercial paper & treasury bills	(219,137,008)	(157,262,924)	(237,266,257)	(172,512,230)
Fair value (gain)/loss on equity investments (FVTPL)	(32,175,266)	(7,193,892)	(32,175,266)	(7,193,892)
Bad debt written-off	11,670,046	108,824,830	11,670,046	108,824,830
Loss/(profit) on disposal of property, plant & equipment	(1,706,960)	(4,249,237)	(1,706,960)	(4,249,237)
Profit from sale of vehicle	(16,779,970)	(28,440,727)	(16,779,970)	(28,440,727)
Provision/(reversal) for defined benefit plans	45,000,000	13,259,901	45,277,952	13,641,126
Dividend received	(4,114,614)	(14,223,727)	(7,941,405)	(18,090,381)
Share of loss/(profit) from associates	(15,528,322)	(15,722,674)	(15,528,322)	(15,722,674)
Operating Profit before Working Capital Changes	3,290,502,457	2,695,343,224	3,344,753,645	2,739,063,265
(Increase)/decrease in trading stock	(52,656,297)	(7,350,688)	(52,656,297)	(7,350,688)
(Increase)/decrease in loans and advances	(10,422,567,400)	(6,431,408,005)	(10,422,567,400)	(6,431,408,005)
(Increase)/decrease in lease rentals receivable & stock out on hire	866,390,804	(943,483,613)	866,390,803	(943,483,613)
(Increase)/decrease in fixed deposits & repurchase agreements	(2,409,973,967)	717,028,492	(2,547,964,606)	699,469,365
(Increase)/decrease in other financial assets	(722,609,070)	(50,473,492)	(723,859,304)	(56,523,392)
(Increase)/decrease in other non financial assets	109,089,555	135,613,628	94,595,658	133,984,131
Increase/(decrease) in derivative financial liabilities	6,126,409	(5,279,500)	6,126,409	(5,279,500)
Increase/(decrease) in amounts due to depositors	2,221,771,848	2,460,851,839	2,221,754,503	2,460,834,286
Increase/(decrease) in other financial liabilities	524,537,168	145,739,134	477,820,555	144,865,076
Increase/(decrease) in other non financial liabilities	(62,523,602)	(96,933,388)	(62,523,528)	(96,933,388)
Cash generated from/(used in) Operations	(6,651,912,095)	(1,380,352,368)	(6,798,129,562)	(1,362,762,463)
Retirement benefit liabilities paid	(15,146,350)	(11,150,371)	(15,146,350)	(11,350,373)
Investment in gratuity fund	(87,094,962)	(52,103,008)	(87,094,962)	(52,103,008)
Taxes paid	(1,157,736,695)	(638,518,748)	(1,186,519,901)	(656,599,759)
Net cash generated from/(used in) operating activities	(7,911,890,102)	(2,082,124,497)	(8,086,890,775)	(2,082,815,603)
Cash Flows from / (Used in) Investing Activities				
Acquisition of property, plant & equipment	(138,411,931)	(218,955,841)	(138,411,894)	(218,955,841)
Acquisition of right of use assets	(85,290,917)	(93,796,581)	(85,290,916)	(93,796,581)
Acquisition of Intangible Assets	(94,693,464)	(378,614)	(94,693,463)	(378,616)
Proceeds from sales of property, plant & equipment	30,375,000	23,617,500	30,375,000	23,617,500
Proceeds from sales of vehicles	3,507,254	7,147,000	3,507,254	7,147,000
Net sales/ (purchases) of financial assets -FVTPL/FVTOCI	2,173,264,761	(2,872,557,831)	2,302,784,447	(2,872,557,831)
Dividend received	4,114,614	14,223,727	7,941,405	18,090,381
Interest on fixed deposits, commercial paper & treasury bills	219,137,008	157,262,924	237,266,257	172,512,230
Net Cash Generated from Investing Activities	2,112,002,325	(2,983,437,716)	2,263,478,090	(2,964,321,758)
Cash Flows from / (Used in) Financing Activities				
Settlement of operating lease liabilities	(92,963,162)	(71,047,632)	(92,963,162)	(71,047,632)
Loans Obtained	13,870,823,613	11,849,006,904	13,870,823,613	11,849,006,904
Loans Repayments	(8,606,151,641)	(7,273,475,649)	(8,606,151,641)	(7,273,475,649)
Dividend paid	(310,003,086)	(283,046,400)	(310,003,086)	(283,046,400)
Net Cash Generated from/(Used in) Financing Activities	4,861,705,724	4,221,437,223	4,861,705,724	4,221,437,223
Net Increase/(Decrease) in Cash and Cash Equivalents	(938,182,054)	(844,124,990)	(961,706,962)	(825,700,141)
Cash and cash equivalents at the beginning of the year	(2,102,843,801)	(283,171,510)	(1,893,222,412)	(183,851,096)
Cash and cash equivalents at the end of the period *	(3,041,025,855)	(1,127,296,500)	(2,854,929,374)	(1,009,551,235)
Movement in Cash and Cash Equivalent	(938,182,054)	(844,124,990)	(961,706,962)	(825,700,141)

Note : Reporting cash flows from operating activities

The Company reports cash flows from operating activities by using the indirect method. The indirect method – whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows – is shown in the above.

* Cash and cash equivalents at the end of the period include favourable cash balances and the Bank Overdraft balances.

Alliance Finance Company PLC

Fair Value Hierarchy -Company

As at

30th September 2025

Financial Assets

Financial assets - Fair value through profit and loss

Government of Sri Lanka treasury bills	-	2,414,829,171	-	2,414,829,171
Government of Sri Lanka treasury bonds		109,641,200	-	109,641,200
Investments in Unit Trusts	400,000,000	-	-	400,000,000

Financial assets - Fair value through Other Comprehensive Income

Quoted Investments	449,040,324	-	-	449,040,324
Unquoted Investments	-	-	579,250	579,250
	849,040,324	2,524,470,371	579,250	3,374,089,945

Financial Liabilities

Due to Depositors	-	38,746,608,165	-	38,746,608,165
Due to Banks	-	36,063,163,938	-	36,063,163,938
Debt Securities Measured at amortised cost	-	3,037,596,304	-	3,037,596,304
Derivative financial liabilities	-	6,126,409	-	6,126,409
	-	77,853,494,816	-	77,853,494,816

30th September 2024

Financial Assets

Financial assets - Fair value through profit and loss

Government of Sri Lanka treasury bills	-	6,180,873,902	-	6,180,873,902
Government of Sri Lanka treasury bonds	-	102,930,751	-	102,930,751

Financial assets - Fair value through Other Comprehensive Income

Quoted Investments	426,395,184	-	-	426,395,184
Unquoted Investments	-	-	579,250	579,250
	426,395,184	6,283,804,653	579,250	6,710,779,087

Financial Liabilities

Due to Depositors	-	30,848,217,088	-	30,848,217,088
Due to Banks	-	27,230,116,230	-	27,230,116,230
Derivative financial liabilities	-	99,612	-	99,612
	-	58,078,432,930	-	58,078,432,930

Alliance Finance Company PLC

Analysis Of Financial Statements Measurement Basis - Company

As at

30th September 2025

Asset

	Financial assets recognized through profit or loss (FVTPL)	Financial assets at amortized cost (AC)	Financial assets at fair value through other comprehensive income(FVOCI)	Total
	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	-	1,467,632,644	-	1,467,632,644
Repurchase Agreements	3,581,173,918	-	-	3,581,173,918
Placement with banks and other financial institutions	-	5,568,816,038	-	5,568,816,038
Financial asset recognized through profit or loss	2,924,470,371	-	-	2,924,470,371
Loans and receivables-Amortized cost	-	48,636,272,835	-	48,636,272,835
Lease rental receivables at amortized cost	-	23,205,790,674	-	23,205,790,674
Financial asset recognized through other comprehensive income	-	-	449,619,574	449,619,574
Other financial assets	-	1,289,507,816	-	1,289,507,816
	6,505,644,289	80,168,020,007	449,619,574	87,123,283,870

Liabilities

Due to Depositors	-	38,746,608,165	-	38,746,608,165
Due to Banks	-	36,063,163,938	-	36,063,163,938
Debt Securities Measured at amortised cost	-	3,037,596,304	-	3,037,596,304
Derivative financial liabilities	-	6,126,409	-	6,126,409
Other financial liabilities	-	2,081,631,184	-	2,081,631,184
	-	79,935,126,000	-	79,935,126,000

30th September 2024

	Financial assets recognized through profit or loss (FVTPL)	Financial assets at amortized cost (AC)	Financial assets at fair value through other comprehensive income(FVOCI)	Total
	Rs.	Rs.	Rs.	Rs.
Asset				
Cash and cash equivalents	-	1,300,498,048	-	1,300,498,048
Repurchase agreements	400,104,114	-	-	400,104,114
Placement with banks and other financial institutions	-	3,091,827,238	-	3,091,827,238
Financial asset recognized through profit or loss	6,283,804,653	-	-	6,283,804,653
Loans and receivables-Amortized cost	-	29,886,211,213	-	29,886,211,213
Lease rental receivables at amortized cost	-	23,206,711,195	-	23,206,711,195
Financial asset recognized through other comprehensive income	-	-	426,974,434	426,974,434
Other financial assets	-	509,105,033	-	509,105,033
	6,683,908,767	57,994,352,727	426,974,434	65,105,235,928
Liabilities				
Due to Depositors	-	30,848,217,088	-	30,848,217,088
Due to Banks	-	27,230,116,230	-	27,230,116,230
Derivative financial liabilities	-	99,612	-	99,612
Other financial liabilities	-	1,283,061,160	-	1,283,061,160
	-	59,361,494,090	-	59,361,494,090

SEGMENT REPORT - GROUP

For the Period ended 30th September

	Leasing and Hire Purchase and Consumer Durable		Loans		Gold Loans		Other		Total	
	Rs.		Rs.		Rs.		Rs.		Rs.	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Revenue	4,073,553,232	4,053,348,869	2,407,830,412	1,578,504,437	1,808,601,532	1,343,007,634	783,464,555	614,008,920	9,073,449,847	7,588,869,860
Segment results	2,957,798,981	2,962,410,990	2,093,764,958	1,300,068,767	1,448,209,894	1,031,046,531	733,292,654	567,851,143	7,233,066,487	5,861,377,431
Unallocated company expenses									(1,485,471,899)	(1,133,298,100)
Operating profit									5,747,594,703	4,728,079,331
Interest expenses	(972,720,880)	(1,145,737,313)	(1,288,167,995)	(888,459,188)	(750,526,738)	(587,051,367)	(615,702,577)	(565,577,726)	(3,627,118,192)	(3,186,825,604)
Share of profits of associates before tax									15,528,322	15,722,674
Taxes on financial services									(538,867,452)	(411,821,718)
Income tax expenses									(639,798,018)	(532,403,550)
Profit for the year									957,339,363	612,751,133
As at 30th September 2025										
Segment assets	23,205,790,675	22,597,806,537	30,731,279,083	17,995,587,256	17,904,998,999	11,890,623,957	14,688,561,283	11,455,679,255	86,530,630,040	63,939,696,995
Investment in associates									153,845,180	144,207,225
Other assets									6,024,567,900	6,082,024,303
Total assets									92,709,043,120	70,165,928,523
Segment liabilities	20,749,564,437	21,063,495,702	25,614,792,155	15,303,494,208	14,923,974,581	10,111,817,539	15,280,641,654	9,741,939,381	76,568,972,827	56,220,746,830
Other liabilities									5,704,578,294	5,210,014,244
Total liabilities									82,273,551,121	61,430,761,074

1 These Interim Financial Statements have been prepared in accordance with the requirements of Sri Lanka Accounting Standard -LKAS 34 on 'Interim Financial Reporting'.

2 The accounting policies adopted in the preparation of these Interim Condensed Consolidated Financial Statements are consistent with those followed in the preparation of the Company's Annual Consolidated Financial Statements for the year ended 31 March 2025.

3 Expected Credit Loss Computation

The Company's estimated Expected Credit Loss (ECL) was based on the Probability of Default (PD), Loss Given Default (LGD) and Economic Factor Adjustment (EFA) applying a range of forecasted economic conditions prevailed as at that date.

Given the uncertainty in the macroeconomic environment, an additional ECL impairment was made using a management overlay, alongside the modeled ECL impairment, to ensure that the overall ECL impairment is adequate to cover unforeseen risk factors in this volatile environment. The company will continue to monitor external developments and make further necessary adjustments to the management overlays in the future.

4 Going Concern

In determining the basis of preparing the Financial Statements for the quarter ended 30th September 2025, the management has assessed the existing and anticipated impact of macroeconomic fluctuations on the Company and is of the view that the use of the going concern basis is appropriate. .

5 Contingent Liabilities and Commitments

a. Financial guarantees Issued :

As at 30th September 2025, the Company has provided financial guarantees totalling to LKR 17.4Mn.

b. Tax assessments issued by the Commissioner General of Inland revenue:

For the taxable periods 2018/19 and 2020/21, the Commissioner General issued additional income tax assessment notices amounting to a total of LKR 820 Mn, consisting of LKR 537.9 Mn in income tax and LKR 282.1 Mn in interest.

Furthermore, an additional surcharge tax assessment has been issued for the 2020/21 period, amounting to LKR 892.64 Mn, comprising LKR 628.6 Mn in surcharge tax and LKR 264.02 Mn in interest.

Following a detailed assessment of the circumstances and the relevant tax legislation, management is of the view that there are strong and valid grounds to challenge these assessments. Accordingly, the company has initiated appeals seeking administrative review of the said assessments.

There are no significant changes in the nature of the Contingent Liabilities other than disclosed above.

6 There have been no material events occurring after the Reporting date which require adjustments to or disclosure in the financial statements other than below.

7 During the quarter, there were no material changes in the composition of assets, liabilities and/or contingent liabilities, other than those disclosed above.

8 All known expenses including management fees and other similar expenses have been provided for the period ended 30th September 2025.

Alliance Finance Company PLC

Explanatory Notes (Continued.)

9 Disclosure Regarding the utilization of fund as per the objectives stated the Green bond and Social bond issue prospectus

9.1 Objectives Stated in the Green Bond Issue Prospectus

Objective Number	Objective as per Prospectus	Amount allocated as per Prospectus (LKR)	Proposed Date of allocation as per Prospectus	Amount allocated from proceeds (LKR) (A)	% of Total Proceeds	Amount utilized (LKR) (B)	% of utilization against allocation (B/A)	Clarification if not fully utilized including where the funds are invested
1	Financing rooftop solar energy installations to reduce greenhouse gas emissions and increase renewable energy in Sri Lanka's National grid.	1,000 Mn (Maximum Issuance)	Over a period of 24 months from the Date of Allotment	800 Mn	Approximately 80%	390 Mn	48.75%	Funds would be invested in cash equivalents, T-bills, T-bonds, or FDs (excluding greenhouse gas-intensive activities) at the prevailing rates at the time of investments.
2	Financing solar equipment vendors and suppliers to strengthen the supply chain for renewable energy projects, ensuring efficient implementation and growth of solar initiatives.		Over a period of 24 months from the Date of Allotment	200 Mn	Approximately 20%	-	-	

9.2 Objectives Stated in the Social Bond Issue Prospectus

Objective Number	Objective as per Prospectus	Amount allocated as per Prospectus (LKR)	Proposed Date of allocation as per Prospectus	Amount allocated from proceeds (LKR) (A)	% of Total Proceeds	Amount utilized (LKR) (B)	% of utilization against allocation (B/A)	Clarification if not fully utilized including where the funds are invested
1	Promoting Micro, Small, and Medium Enterprises (MSMEs) and rural entrepreneurs through value chain financing to stimulate economic growth and create employment opportunities.	Maximum issue of LKR 2.0 Bn (Approximately 75% for the first Objective and 25% for the second Objective)	Over a period of 24 months from the Date of Allotment	1500 Mn	Approximately 75%	325 Mn	21.67%	Funds would be invested in cash equivalents, T-bills, T-bonds, or FDs
2	Providing microfinance to marginalized and underserved communities who lack access to traditional financial services, empowering them to improve their livelihoods and financial stability. This product is exclusively offered to women borrowers.		Over a period of 24 months from the Date of Allotment	500 Mn	Approximately 25%	25MN	0.05%	

Selected Performance Indicators

Capital Adequacy (%)

Tier 1 Capital Adequacy Ratio (minimum 8.5%)
Total Capital Adequacy Ratio (minimum 12.5%)
Capital Funds to Deposit Liabilities Ratio

Profitability (%)

Return on average shareholders funds (before tax)
Return on average assets (before tax)

Liquidity ('000)

Required Minimum Amount of Liquid Assets
Available Amount of Liquid Assets
Required Minimum Amount of Government Securities
Available Amount of Government Securities

Quality of Loan Portfolio (%)

Gross Non-Performing Loans Ratio
Net-Non-Performing Loans Ratio

Other Ratios

Debt to equity ratio (times)
Interest cover (times)
Liquid Asset Ratio (%)

	30/09/2025	30/09/2024
Tier 1 Capital Adequacy Ratio	10.62%	10.55%
Total Capital Adequacy Ratio	14.48%	13.74%
Capital Funds to Deposit Liabilities Ratio	23.66%	20.48%
Return on average shareholders funds (before tax)	31.43%	26.22%
Return on average assets (before tax)	3.50%	3.33%
Required Minimum Amount of Liquid Assets	4,230,962	3,113,667
Available Amount of Liquid Assets	7,162,988	7,786,391
Required Minimum Amount of Government Securities	2,437,124	1,779,203
Available Amount of Government Securities	6,051,183	6,584,263
Gross Non-Performing Loans Ratio	6.77%	7.52%
Net-Non-Performing Loans Ratio	3.97%	3.62%
Debt to equity ratio (times)	7.82	7.12
Interest cover (times)	1.55	1.52
Liquid Asset Ratio (%)	17.02%	13.82%

Alliance Finance Company PLC

Explanatory Notes (Continued.)

* Information on -Listed Debentures- Green Bond

Debenture Category	Interest Payable frequency	Effective Rate	Applicable Interest Rate	Interest Rate of comparative government securities (Gross) p.a%	Balance as at 30th September 2025	Market Price LKR			Yield Last Traded %
		%	%	%		Highest	Lowest	Last Traded	
Listed, Rated, Guaranteed, Senior, Redeemable Green Bonds	Semi-annually	11.03%	10.75% p.a	9.15%	1,012,958,904	N/T	N/T	N/T	N/T

* Information on -Listed Debentures - Social Bond

Debenture Category	Interest Payable frequency	Effective Rate	Applicable Interest Rate	Interest Rate of comparative government securities (Gross) p.a%	Balance as at 30th September 2025	Market Price LKR			Yield Last Traded %
		%	%	%		Highest	Lowest	Last Traded	
Type A	Annually	11.15%	11.15% p.a.	9.55%	2,024,637,400	N/T	N/T	N/T	N/T
Type B	Annually	11.40%	11.40% p.a.	9.75%					

*N/T=Not Traded

Shareholder's Information

Market price per share

Quarter ended 01st July to 30th September 2025

Highest Price
Lowest Price
Last Traded

2025	2024
450.00	109.00
350.00	95.00
396.75	107.75

Stated capital

As at 30th September 2025 the Stated Capital was Rs. 613,980,000/- comprising of 33,696,000 ordinary shares issued.

Directors'/ CEO's Holding in Shares as at 30th September 2025

No	Name of Director
1	Mrs.G.S.T. Dharmakirti-Herath
2	Mr.R.K.E.P. de Silva
3	Mr.W.P.K. Jayawardana
4	Mr.M.J. Benedict
5	Mrs.P. De Silva
6	Mr.L.J.H. De Silva
7	Dr.D.L.I. Hettiarachchi
8	Mr.D.F.W. Perera
9	Dr.S.L.N. Wickramsooriya

No. of Shares
100
12,423,830
42,750
1,000
100
3,052
100
363,243
1,000

Twenty Largest Ordinary Shareholders as at 30th September 2025

No.	Name of Shareholder
1	Mr.R.K.E.P. de Silva
2	Motor Service Station (Pvt) Ltd.,
3	Mrs D.M.E.P. Perera
4	Mr.D.F.W.S.K. Perera & Mr.D.F.W. Perera (Joint)
5	Orient Hotels Ltd.,
6	Mrs.S.E. Canekaratne
7	J B Cocoshell (Pvt) Ltd.
8	Mr.D.L.S.R. Perera
9	Mrs.P.N. Weththasinghe & Mrs.A.S. Weththasinghe
10	Mrs.C.R. de Silva
11	Mr. D.F.W. Perera
12	Ms.D.C.M.A. Perera
13	Mr.W.G.D.C. Ranaweera
14	Hatton National Bank PLC/Mr.K.K. Shujeevan
15	Ms.D.D.P.T. Perera
16	Mr.G.P. Kapilasena
17	Mrs.K.G.G.S.L. Perera
18	Mrs.N.U. Silva
19	Mrs.C. Yogagopalakrishnan & Mrs.Y. Thirukumar
20	Mr.D.L.S.R. Perera & Mrs. D.C.M.A Perera

No. of Shares	%
12,423,830	36.87
4,647,133	13.79
2,564,862	7.61
1,483,984	4.40
1,358,323	4.03
612,268	1.82
475,309	1.41
412,266	1.22
401,051	1.19
374,400	1.11
363,243	1.08
361,042	1.07
359,696	1.07
334,434	0.99
319,384	0.95
201,180	0.60
201,066	0.60
172,105	0.51
155,920	0.46
146,290	0.43

Public Shareholding as at 30th September 2025

No of Shares	%
11,904,575	35.33

No of Shareholders

The percentage of ordinary shares held by the public as at 30th September was 35.33% and the number of shareholders representing the public holding was 1,954.

Float Adjusted Market Capitalization

The Float adjusted market capitalization as at 30th September 2025 Rs. 4,723,140,131.25 and the Company falls under Option 5 of Rule 7.13.1 (a), of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

Alliance Finance Company PLC

Corporate Information

Name of the Company

Alliance Finance Company PLC

Statutory Status

Quoted Public Limited Liability Company, Incorporated on 18th July 1956. Approved and registered under the Finance Business Act No.42 of 2011 and Finance Leasing Act No.56 of 2000. An approved Credit Agency under the Mortgage Act No.06 of 1949 and the Trust receipt Ordinance No.12 of 1947.

Company Registration

Registered under the Companies Act No.07 of 2007.
Company Registration number PQ 93.

Registered Office

Alliance House, No.84, Ward Place, Colombo 07.
Tel : 011 2673673 Fax: 011 2697205
e mail : info@alliancefinance.lk

Board of Directors

Mrs.Tamara Dharmakirti Herath - *Chairperson*
Mr. Romani de Silva - F.I.C.M.(SL) - *Deputy Chairman / Managing Director*
Mr.Kusal Jayawardana - CFA, MBA, ACMA. CGMA - *Deputy Managing Director*
Mr. Michael Joseph Benedict - MBA, CMA, CMSLIM - *Executive Director*
Recoveries
Mrs. Priyanthi de Silva - FCMA, CGMA, FCPA - *Independent Non Executive Director*
Mr.Hiran de Silva - *Non Independent Non Executive Director*
Dr. Lasantha Ivers Hettiarachchi - LLM,DCL, Attorney at Law -*Independent Non Executive Director*
Mr. Wiyan Perera - Bsc. (Econ) - *Non Independent Non Executive Director*
Dr. Lasantha Wickremasooriya - DBA (Col), MBA (SRII) FICM,FABG -*Non Independent Non Executive Director*

Company Secretary

Priyanga P. Peiris
No. 84, Ward Place
Colombo 07.

Legal Consultants

Gunawardene Associates
Sudath Perera Associates

Board Audit Committee

Mrs. Priyanthi de Silva - *Chairperson*
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Human Resources & Remuneration Committee

Dr.Lasantha Hettiarachchi - Chairman
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Related Party Transaction Review Committee

Dr.Lasantha Hettiarachchi - Chairman
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Board Integrated Risk Management Committee

Mrs. Priyanthi de Silva - Chairperson
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Nominations & Governance Committee

Dr.Lasantha Hettiarachchi - Chairman
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Board Sustainability Committee

Mrs.Tamara Dharmakirti Herath - Chairperson
Mr. Romani De Silva
Mr. Kusal Jayawardana

Auditors

M/s Deloitte Associates
Chartered Accountants,
No.100, Braybrooke Place
Colombo 02.

Bankers

Sampath Bank PLC
Seylan Bank PLC
Public Bank Berhad
People's Bank
Hatton National Bank PLC
Commercial Bank of Ceylon PLC
Bank of Ceylon
Nations Trust Bank PLC
Union Bank of Colombo PLC
DFCC Bank PLC
NDB Bank PLC
Cargills Bank